

National University of Computer and Emerging Sciences, Lahore Campus



Course Name:	Fundamentals of Accounting (Solution)	Course Code:	AF1001
Program:	BFT	Semester:	Fall 2023
Duration:	60 Minutes	Total Marks:	30
Date:	30-09-2023	Weight:	15%
Section:	All section of BFT	Page(s):	
Exam Type:	Sessional – I		

Student: Name: _____ **Roll No.** _____ **Section:** _____

Instruction/Notes: Attempt all questions.
Return the question paper along with answer sheet.

Question # 1

[10+10+5=25 Marks]

Mr. Campbell started business on 1st July 2022. From the following transactions prepare Journal entries, T-accounts and Trail Balance of the business for the year ended 30th June 2023.

1. Business started with cash \$25,000.
2. Purchased furniture from cash \$4,000.
3. Supplies purchased from Mr. John for \$3,000 on credit.
4. Cash paid to Mr. John \$300.
5. Goods sold to Mr. Peter \$5,000 on credit.
6. Cash received from Mr. Peter \$500.
7. Paid salaries by cash \$500.
8. Purchase new land worth \$20,000, pay \$12,000 cash and sign a note payable for the balance.
9. Some of the supplies were not in order and returned to Mr. John worth \$1,000 purchased on credit.
10. Salary paid to employees worth \$4,000.

Solution:

1. Business started with cash \$25,000.
 - o Debit: Cash \$25,000
 - o Credit: Capital (Owner's Equity) \$25,000
2. Purchased furniture from cash \$4,000.
 - o Debit: Furniture \$4,000
 - o Credit: Cash \$4,000
3. Supplies purchased from Mr. John for \$3,000 on credit.
 - o Debit: Supplies \$3,000
 - o Credit: Accounts Payable (Mr. John) \$3,000

4. Cash paid to Mr. John \$300.
 - o Debit: Accounts Payable (Mr. John) \$300
 - o Credit: Cash \$300
5. Goods sold to Mr. Peter \$5,000 on credit.
 - o Debit: Accounts Receivable (Mr. Peter) \$5,000
 - o Credit: Sales \$5,000
6. Cash received from Mr. Peter \$500.
 - o Debit: Cash \$500
 - o Credit: Accounts Receivable (Mr. Peter) \$500
7. Paid salaries by cash \$500.
 - o Debit: Salaries Expense \$500
 - o Credit: Cash \$500
8. Purchase new land worth \$20,000, pay \$12,000 cash, and sign a note payable for the balance.
 - o Debit: Land \$20,000
 - o Credit: Notes Payable \$8,000
 - o Credit: Cash \$12,000
9. Some of the supplies were not in order and returned to Mr. John worth \$1,000 purchased on credit.
 - o Debit: Accounts Payable (Mr. John) \$1,000
 - o Credit: Supplies \$1,000
10. Salary paid to employees worth \$4,000.
 - o Debit: Salaries Expense \$4,000
 - o Credit: Cash \$4,000

Ledger accounts:

Cash	Debit (\$)	Credit (\$)
Opening balance	0	
Transaction 1	25,000	
Transaction 2		4,000
Transaction 4		300
Transaction 6	500	
Transaction 7		500
Transaction 8		12,000
Transaction 10		4,000
Closing balance	4,700	20,800

Owner's equity	Debit (\$)	Credit (\$)
Opening balance	0	
Transaction 1	25,000	
Closing balance	25,000	

Furniture	Debit (\$)	Credit (\$)
Opening balance	0	
Transaction 2	4,000	
Closing balance	4,000	

Supplies	Debit (\$)	Credit (\$)
Opening balance	0	
Transaction 3	3,000	
Transaction 9		1,000
Closing balance	2,000	1,000

Accounts Payable	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 3		3,000	
Transaction 4	300		
Transaction 9	1,000		
Closing balance	1300	1,700	

Accounts Receivable	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 5	5,000		
Transaction 6		500	
Closing balance	4,500	500	

Sales	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 5	5,000		
Closing balance	5,000		

Salaries expense	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 7	500		
Transaction 10	4,000		
Closing balance	4,500		

Land Account	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 8	20,000		
Closing balance	20,000		

Notes Payable	Debit (\$)	Credit (\$)	
Opening balance	0		
Transaction 8		8,000	
Closing balance		8,000	

Particulars	Debit	Credit
Cash	4700	
Owner's equity		25000
Furniture	4000	
Supplies	2000	
Accounts Payable		1700
Accounts Receivable	4500	
Sales		5000
Salaries Expense	4500	
Land Account	20000	
Notes Payable		8000
Total	39,700	39,700

Define and explain any 2 out of the 3 concepts.

(1) Accounting definition

Accounting is the process of recording financial transactions pertaining to a business. The accounting process includes summarizing, analyzing, and reporting these transactions to oversight agencies, regulators, and tax collection entities.

(2) Accrual base accounting

Accrual basis accounting recognizes business revenue and matching expenses when they are generated—not when money actually changes hands. This means companies record revenue when it is earned, not when the company collects the money.

(3) Matching principle.

Matching principle is an accounting principle for recording revenues and expenses. It requires that a business records expenses alongside revenues earned. Ideally, they both fall within the same period of time for the clearest tracking. This principle recognizes that businesses must incur expenses to earn revenues.